that Smith be given a chance to return to India to scotch any rumours as to his incompetence. He felt that Smith's version of the incident needed to be heard and it would be unfair not to do so. Also, Smith could be dangerous if he decided to return to India later and make mischief. One factor which may have prevented the mess from spiralling entirely out of control was that Smith considered the RBI to be his child and was therefore also keen to avoid bad publicity. Norman's and Niemeyer's support of Smith also must have been a restraining influence on the India Office.

As regards the honour, the India Office agreed with great reservation and hesitation to a KCSI[65] since Smith already had a KCIE. The India Office was of the opinion that KCSI's were reserved for very notable service, but that a price had to be paid in order to clean up a very nasty mess.[66] But it was also obvious that Smith was considered a formidable opponent whose ability to retaliate was not being underestimated. The Secretary of State echoing these views said that it was the only alternative to the dismissal or forced resignation of 'a man of violent character, who is convinced that he has been injured and will stop at nothing to get back on those who he thinks have injured him. One consideration that weighed when he was appointed was, I believe, that he could give much more trouble outside the Bank than in it, and I feel that it would be most unwise to make light of his powers of mischief.'[67]

The Viceroy recommended Smith for a KCSI in the January Honours list but continued to plead that Smith not be allowed to return. Grigg in the meanwhile had upped the tempo of his campaign against Smith, adopting unscrupulous means to condemn the RBI Governor. He had his tax returns questioned and even went to the extent of intercepting his letters to Indian friends like Shroff and Purshotamdas. He then communicated the detailed text of these letters to the Secretary of State to strengthen his case that Smith not be allowed to return. Finally, it was decided that the whole unfortunate business would end with Smith coming to India around October 15, remaining till the annual meeting in Bombay in February, and then announce his resignation and proceed on four months leave, finally severing his connection with the bank on July 1, 1937. Grigg sent Taylor a message about this development: 'I had a telegram from Z[68] which briefly means a verdict for us but a demand from N[69] for a stay of execution until February.'[70]